

2. The correlation assumptions were unrealistically low. They failed to adequately account for the sharply increased probability of BBB tranches failing if other BBB tranches failed.

3. The credit rating agencies had a clear conflict of interest: They were paid by the CDO manufacturers. If they were too “harsh” (read: realistic) in their ratings, they would lose the business. They were effectively incentivized to be as lax as possible in their ratings. Is this to say the credit rating agencies deliberately mismarked bonds? No, the mismarkings might have been subconscious. Although the AAA ratings for tranches of individual mortgages could be defended to some extent, it is difficult to make the same claim for the AAA ratings of CDO tranches consisting of only the BBB tranches of mortgage bonds. In regard to the CDO ratings, the credit rating agencies were either conflicted or incompetent.

Cornwall Capital’s primary strategy for shorting the housing bubble was buying credit default swaps (CDS) on the AA tranches of CDOs. The buyer of CDS makes ongoing premium payments (equivalent to the bond interest rate payments) to the seller for protection against the risk of default in the underlying security.



How did you get involved in trading the subprime mortgage market?

I first became aware of the opportunity in October 2006 when a friend sent us a write-up of a presentation made by Paul Singer of Elliot Associates. Singer walked through the sleight-of-hand that banks used to amalgamate the riskiest tranches of subprime mortgage-backed securitizations (MBS)—the BBB tranches that investors were starting to shy away from—into a new collateralized debt obligation (CDO), the majority of which was rated AA or higher.⁹ Singer demonstrated that housing prices didn’t have to fall for the AA tranches of these CDOs to fail; they simply had to stop rising. The assertion that institutional investors were willing to accept the paltry returns associated with AA or higher rated securities for that kind of risk didn’t even seem plausible. If it hadn’t been someone with Singer’s reputation making these assertions, I would never have believed him.